

Because I had no idea how to make money outside of the Warburg environment, which was so rich in order flow information.

So going back to the question I originally asked you, was the edge then coming from knowledge of where the orders were?

The opportunity to make money was there because of the franchise, but the fact that I was making multiples of the people around me indicated that I was doing something better than they were.

You were using that order flow information better. But it must be very helpful to know there are a lot of buy orders below the market, and if you are long and wrong, the stock should run into buying support, and you shouldn't get hurt much.

Yes, it is a nice comfortable place to be.

But if you have no idea where the orders are, it's not quite so easy. Was that a revelation?

Oh, totally. I was so happy at Warburg. I loved going to work. I didn't want to leave, but I thought I had to. I've always been driven to be rational. £50,000 versus £28,000; I had to go. The decision was so clear. So I went to Lehman, and I couldn't make any money. It was a terrible shock to my ego. I began to doubt my ability. It was a very depressing time. It lasted for several months. I've seen this happen to many traders, and I have gone through it several times myself. When you find that you can't make any money, smaller and smaller losses take on greater and greater emotional significance, and you lose all perspective.

I can remember this incident very clearly. I was playing basketball one night, and I got a call from our New York office to tell me that there had been a big move in Novo, a Danish company, which was one of the European stocks I covered. It was up \$2 from the European close. I asked if the stock was bid. He said there was 100,000 shares bid. As a gut reaction, I went short the entire amount. It was the biggest position I had taken by a mile.

But since you were so gun shy, why would you take on a position that large?